

companies were usually the smaller and less established companies. They did not have as strong balance sheets as the listed companies and they certainly did not have as long a corporate earnings and dividend paying history (some did not even have any history of profits at all). In addition, these companies had higher price volatility, less stable intraday trading patterns, and higher company specific risk.

At that time fewer analysts covered NASDAQ companies. Many of these companies were also new era technology stocks so techniques used to value them were not as developed as they are today. Analysts at times would force the traditional valuation techniques for companies with historical earnings, profits, sales figures, etc., such as GE, AT&T, IBM, etc. But these approaches would break down for companies that did not have any profits or pay dividends. How could we value a company using a discounted dividend model if it had never paid out any dividends? How could we forecast sales if the company is based on an idea without any previous sales, or forecast performance in a new industry such as internet shopping, where there was no history whether or not consumers would embrace the approach? While at the time we all knew these concepts would take off and be embraced, we did not know which companies would excel and which would falter.

What we did observe during that time was that company characteristics had a great effect on the underlying market impact cost of an order. And they still do!

1995–2005 triggered a great deal of discussion surrounding which exchange (NYSE or NASDAQ) was more efficient and provided investors with lower costs. But the reason was not because of the NYSE structure having lower costs than NASDAQ. In actuality, it was due to the majority of NYSE companies with trading characteristics that caused lower trading costs, such as lower volatility, larger market cap, more stable intraday trading patterns, lower company specific risk, and were followed by a larger number of equity analysts—producing less potential for informed trader surprises. As mentioned, the majority of NASDAQ companies at that time were more volatile, with smaller market cap, less stable trading patterns, a greater quantity of company specific risk—creating greater potential for informed trader surprises than NYSE companies. However, when we isolated these characteristics across exchanges, and held trade size and strategy constant, we did not find any statistical difference across costs. Stocks on both exchanges had very similar cost structures and we concluded that costs were similar across the NYSE and NASDAQ (after adjusting for trading characteristics). In today's markets, with